

Week ending: 31st May 2021

Weekly Fixed Income Note

Key Highlight:

A total of KES **24.0 Billion** worth of T-bills were on offer during the week. The **91-day** T-bill was undersubscribed recording **61.21%,** while the **182-day & 364-day** T-bills were oversubscribed recording **103.09%** and **238.21%** respectively. The CBK accepted KES **2.41B**, **4.42B** and **13.76B** respectively of the bids for the **91-day, 182-day,** and **364-day** T-bills on offer accepting a total of **20.58B.**

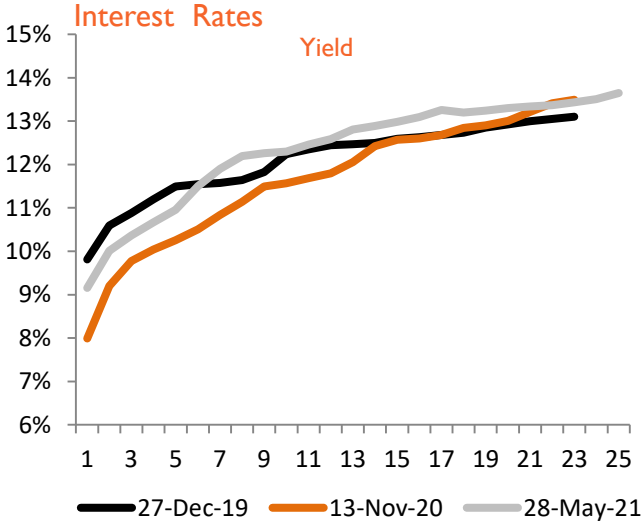
The Central Bank of Kenya opened a tap sale on fixed bonds **FXD2/2019/15-(13yr)** and **FXD1/2021/25-(25yr)** that was offered on a **first-come-first-serve** basis in a bid to raise **20Bn**. The tap sale was oversubscribed with CBK accepting **KES 20.69Bn** of the total **KES 20.93Bn** received. The coupon rates for the bonds were **12.734%** and **13.924%** for the **FXD2/2019/15** and **FXD1/2021/25** respectively.

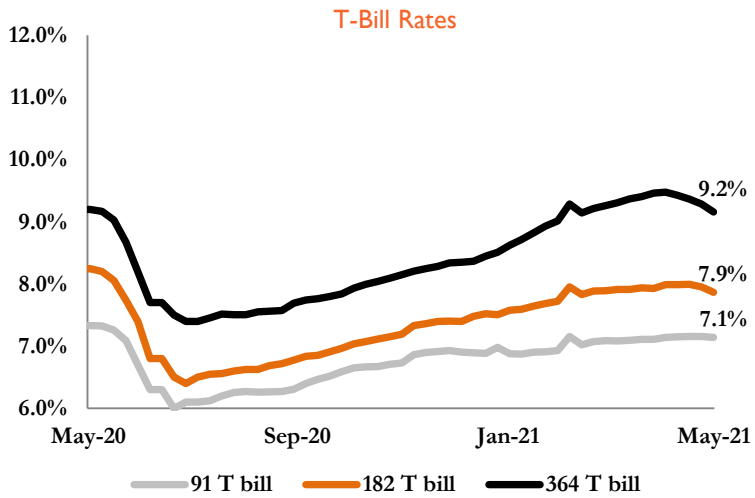
Key Indicators

	Current	Previous	% Change
91- Day	7.14%	7.16%	-0.02%
182-Day	7.87%	7.95%	-0.09%
364-Day	9.16%	9.28%	-0.13%
Interbank Rate	4.96%	4.98%	-0.46%

Macroeconomic data	Current	Previous
GDP (3Q20 vs. 3Q19)	-1.1%	5.8%
Inflation (April)	5.76%	5.90%
Private sector credit growth (March)	7.70%	9.70%
Money Supply (March)	10.10%	12.40%

Interest Rates





MACROECONOMIC NEWS

Currency

The Kenya shilling gained ground against the greenback this past week appreciating by **0.64%** to trade at **KES 107.54.** The CBK's usable forex reserves currently stands at **USD 7,480 million (4.57** months of import cover**)** as at May 27th, a **0.87%** decrease from **USD 7,546 million (4.61** months of import cover**)** as at May 20th.

Inflation

In April, Headline inflation decreased to **5.76%** from **5.90 %** in March. The CPI increased by **0.82%** from **113.81** in March to **114.75** in April. This decrease was driven by the lower food and fuel inflation compared to the previous month. Meanwhile, the food and alcoholic beverages index increased by **1.73%** due to the increase in prices of select food items. Headline inflation is likely to increase marginally on the back of higher food and fuel prices.

GDP growth

Growth receded by **-1.1%** in 3Q20 from **5.8%** in the corresponding period of 2019. The economic performance remained depressed due to the crisis caused by the pandemic. However, an improvement was observed compared to 2Q20. The quarterly improvement was majorly supported by growth in the agricultural sector that recorded **6.3%** growth compared to **5.0%** in 2019 and growth in construction by **16.2%** versus **6.6%** in 2019. Manufacturing, Electricity and Transportation sectors each recorded **3.2%, 4.7%** and **9.9%** growth respectively.

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